Bandhan AMC Limited
(Bandhan Mutual Fund)

November 06, 2026

Facilities/Instruments	Name of the Regulator[1]	Amount (₹ crore)	Rating[2]	Rating Action
Short-term bank facilities	RBI	^2,500.00	CARE A1+	Reaffirmed

Details of instruments/facilities in Annexure-1.

^Facility is extended to 22 debt schemes of Bandhan Mutual Fund.

^Total sanctioned intra-day facility from HDFC Bank is ₹1,200 crore and rated facility is only ₹1,000 crore.

^Total sanctioned intra-day facility from ICICI Bank is ₹1,500 crore and rated facility is only ₹1,500 crore.

Details of debt mutual fund schemes considered under the above facility are mentioned in Annexure-5.

Rationale and key rating drivers

Reaffirmation of the rating of Bandhan Mutual Fund (managed by Bandhan AMC Limited) continues to factor in high credit quality of underlying assets of schemes and comfortable asset coverage for bank facilities. The rating also factors in 59.98% sponsorship from Bandhan Financial Holdings Limited (BFHL) and the fund management team's experience. Maintenance of high credit quality of underlying assets of schemes and asset coverage for bank facilities are key rating sensitivities.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Not applicable

Negative factors

- Moderation in linkages with the parent.
- Significant deterioration in the asset quality of asset under management (AUM).
- Decline in asset coverage of the scheme.

Analytical approach: Standalone

CARE Ratings Limited (CareEdge Ratings) has analysed the standalone credit profile of Bandhan AMC Limited and underlying credit quality of debt schemes covered under the bank facility. It also factors in operational and managerial linkages with its parent, led by the Bandhan group (flagship entity – Bandhan Bank).

Outlook: Not applicable

Detailed description of key rating drivers

Key strengths

High credit quality of underlying assets

The short-term bank facility serves as a liquidity support mechanism for the 22 schemes of Bandhan Mutual Fund. As on September 30, 2026, 16.17% of the aggregate AUM of these schemes was invested in sovereign-backed instruments, including government bonds, cash, treasury bills, state government bonds, SDLs, government bond strips, and G-Secs. Moreover, 72.23% of the AUM was invested in AAA-rated securities, while 1.83% and 0.17% were invested in AA+ and AA-rated securities, respectively. Additionally, 9.61% of the portfolio was deployed in TREPS. The high proportion of investments in sovereign and highly rated instruments underscores the strong credit quality of the underlying assets supporting the bank facility.

High asset coverage

As on September 30, 2026, the total rated bank facility stood at ₹2,500 crore against the aggregate AUM of ₹90,752.02 crore across the schemes. The facility comprises ₹1,000 crore sanctioned by HDFC Bank and ₹1,500 crore sanctioned by ICICI Bank. The AMC has not witnessed significant redemption pressure over the past year, and the sanctioned facilities have remained unutilised, serving purely as a contingency liquidity buffer. The management has confirmed that redemption withdrawals have remained well within the available sanctioned facility limits at all times.

[1]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

[2]Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Low market risk and liquidity risk
As on September 30, 2026, the portfolio Macaulay duration of five of the 22 schemes was below one year, while the remaining 17 schemes had Macaulay durations of over one year. The schemes are predominantly invested in high credit quality debt instruments, which supports the mitigation of both market and liquidity risks.

From a liquidity perspective, the portfolio composition was diversified across fixed-income instruments, with 13.17% of the AUM invested in commercial papers (CPs), 31.54% in certificates of deposit (CDs), 16.17% in sovereign securities (including government bonds, cash, treasury bills, SDLs, state government bonds, G-Secs, and government bond strips), 26.74% in corporate bonds, and 9.61% in TREPS. The investments are largely concentrated in highly rated securities, reflecting the strong credit quality of the underlying portfolio and supporting overall liquidity.

Sponsors strength with strong brand linkage
BFHL is the sponsor of Bandhan Mutual Fund (Erstwhile IDFC Mutual Fund). Bandhan group is an established Indian group having presence across banking and mutual fund industry. Bandhan group started operations in 2006 with establishment of Bandhan Financial Services Pvt Ltd and over the years have grown into a diversified financial group. BFHL also holds 59.98% stake in Bandhan Bank Limited.

Experienced management
The senior management and fund management team consists of professionals with extensive experience in the investment management industry.

Liquidity: Strong
The AUM has invested in highly liquid and high rated investments. As on September 30, 2026, 25.78% of AUM (₹23,390.01 crore) was invested in government bonds (which includes government bond/cash/T-bills/state government bonds/state government loan/government bond strips/G-Sec), 27.29% (₹24,769.06 crore) in NCDs, 31.54% in CD (₹28,624.43 crore), and 13.17% in CPs (₹11,955.387 crore). In addition, the instruments in which the investments are made are highly rated. Overall, 88.39% of the portfolio is invested in sovereign securities and AAA rated papers while, 1.83% of the investment is in AA+ and 0.17% in below category rated paper. The liquid instruments comprising government bonds, state bonds, T-bills, cash and TREPS consists of a total value of ₹23,390 crore, which is ~25.78% of the AUM. The said facilities are generally used to meet redemptions on T+1 day basis, which is drawn and squared off on the same day.

Environment, social, and governance (ESG) risks :
Not applicable

Applicable criteria
Definition of Default
Financial Ratios - Financial Sector
Notching by Factoring Linkages in Ratings
Rating of Short Term Instruments
Fund Credit Quality

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial services	Financial services	Capital markets	Asset management company

Bandhan AMC Limited is the investment manager for Bandhan Mutual Fund. As on September 30, 2026, Bandhan Mutual Fund, has AUM (including 22 schemes) of ₹217,748.66 crore (excluding domestic Funds of Funds but including Funds of Funds-Overseas). On April 06, 2022, BFHL-led consortium entered a definitive agreement to acquire IDFC Asset Management Company Limited and IDFC AMC Trustee Company Limited, per the document shared by the company. All regulatory approvals, including from the Securities and Exchange Board of India (SEBI) have been received. Consequently, the consortium of BFHL, GIC and ChrysCapital became the new shareholders of IDFC Asset Management Company Limited and IDFC AMC Trustee Company Limited, and BFHL became the new Sponsor of IDFC Mutual Fund. On March 13, 2023, the name of the mutual fund changed from "IDFC Mutual Fund" to "Bandhan Mutual Fund" and names of all existing schemes were changed by substituting the word 'IDFC' prefixed before each scheme name with 'Bandhan'. On April 19, 2023, names of the AMC and trustee company changed from 'IDFC Asset Management Company Limited' to 'Bandhan AMC Limited' and from 'IDFC AMC Trustee Company Limited' to 'Bandhan Mutual Fund Trustee Limited', respectively. As on October 12, 2026, BFHL holds 59.98% stake in Bandhan AMC.

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of regulators:
A list of facilities / instruments falling under the purview of financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based - ST-Term loan	RBI	^NA	-	-	-	*NA	2500.00	CARE A1+

^NA- Not applicable; *NA- Not applicable since it a day-light facility

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based - ST-Term loan	ST	2500.00	CARE A1+	-	1)CARE A1+ (28-Oct-25)	1)CARE A1+ (29-Oct-24)	1)CARE A1+ (30-Nov-23)

ST: Short term;

Annexure-3: Detailed explanation of covenants of rated instruments/facilities – Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please click here

Annexure-5: Details of debt mutual fund schemes considered under the facility:

Sr. No	Name of the Scheme	AUM as on September 30, 2026 (₹ crore)
1	Bandhan Liquid Fund	16,269.40
2	Bandhan Short Duration Fund (formerly known as Bandhan Bond Fund - Short Term Plan)	8,680.22
3	Bandhan Money Market Fund	13,128.61
4	Bandhan Dynamic Term Fund	1,909.92
5	Bandhan Bond Fund - Medium Term Plan	1,244.08
6	Bandhan Bond Fund - Income Plan (Gilt Fund)	1,686.14
7	Bandhan Ultra Short to Short Term Fund (formerly Bandhan Low Duration Fund)	6,341.95
8	Bandhan Banking & PSU Debt Fund	11,893.32
9	Bandhan Medium to Long Term Fund	427.78
10	Bandhan 10 Years Constant Maturity Gilt Fund	285.02
11	Bandhan Corporate Bond Fund	13,511.50
12	Bandhan Credit Risk Fund	220.84
13	Bandhan Ultra Short-Term Fund	4,097.79
14	Bandhan Overnight Fund	1,213.38
15	Bandhan CRISIL IBX Gilt June 2027 Index Fund	5,181.55
16	Bandhan CRISIL IBX Gilt April 2028 Index Fund	3,367.16
17	Bandhan Floating Interest Rates Fund (formerly known as Bandhan Floater Fund)	223.54
18	Bandhan CRISIL IBX 90:10 SDL Plus Gilt November 2026 Index Fund	89.99
19	Bandhan CRISIL IBX 90:10 SDL Plus Gilt April 2032 Index Fund	381.83
20	Bandhan CRISIL IBX 90:10 SDL Plus Gilt September 2027 Index Fund	143.80
21	Bandhan CRISIL IBX Gilt April 2032 Index Fund	407.97
22	Bandhan Long Term Fund (formerly known as Bandhan Long Duration Fund)	46.24
	Total	**90,752.02**

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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